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INTRODUCTION TO FINANCIAL MANAGEMENT

Instructor: Sheila Mae Obra

- Objectives:
  - Discuss primary objective of financial management.
  - Distinguish profit maximization from stockholders' wealth maximization.
  - Identify primary functions of the finance manager;
  - Analyze problems that are applicable to finance;
  - Differentiate sole proprietorship, partnership and corporation;
  - Define the basic features, advantages and disadvantages of the different forms of business organization

Financial Management

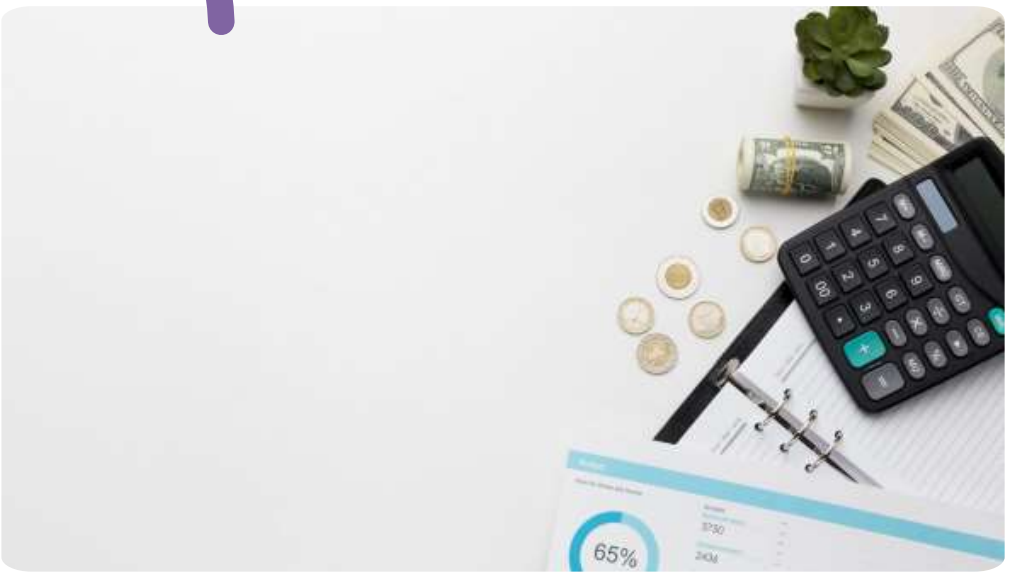
- Concerned with raising, allocating, and controlling a company's funds.

The Company's Goal

- The generally accepted goal of a company is to maximize the wealth of its common stockholders through the value of its common stock (Kolb & Demong, 1998).

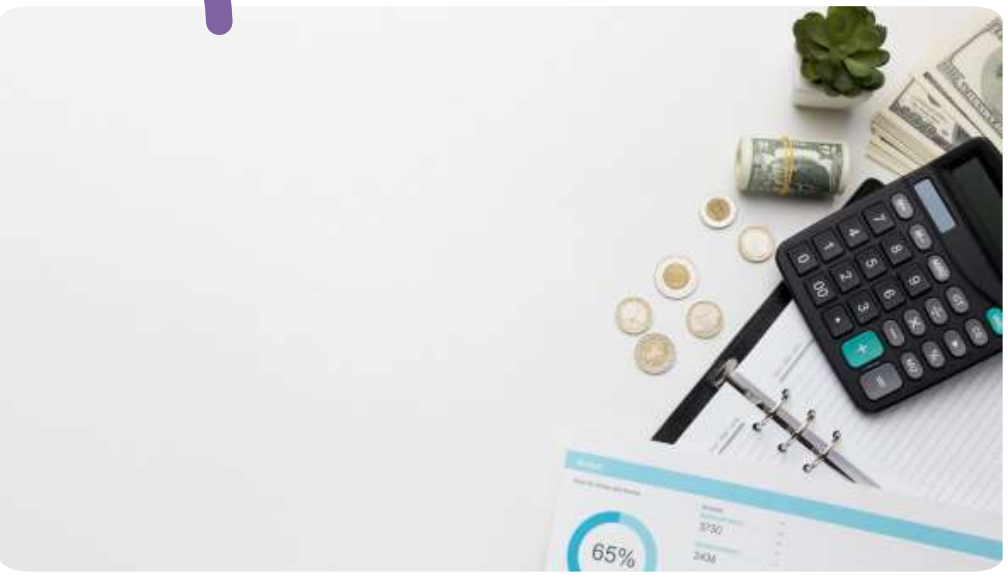
Profit Maximization

- It is a core goal in economics and business. It means a firm aims to earn the **highest possible profit** from its operations.



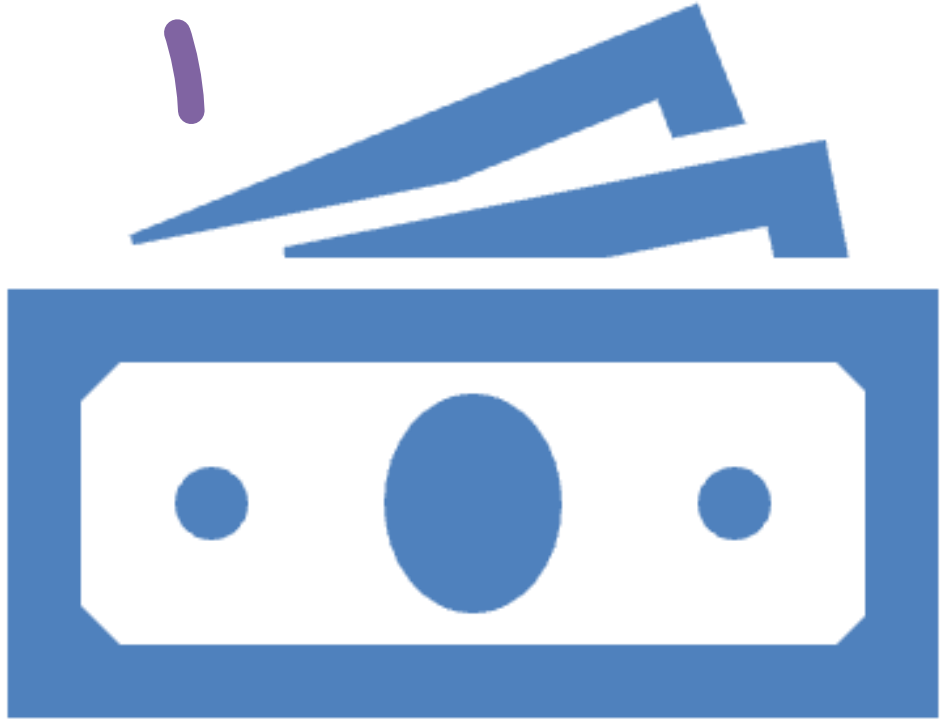
Profit Maximization vs Wealth Maximization

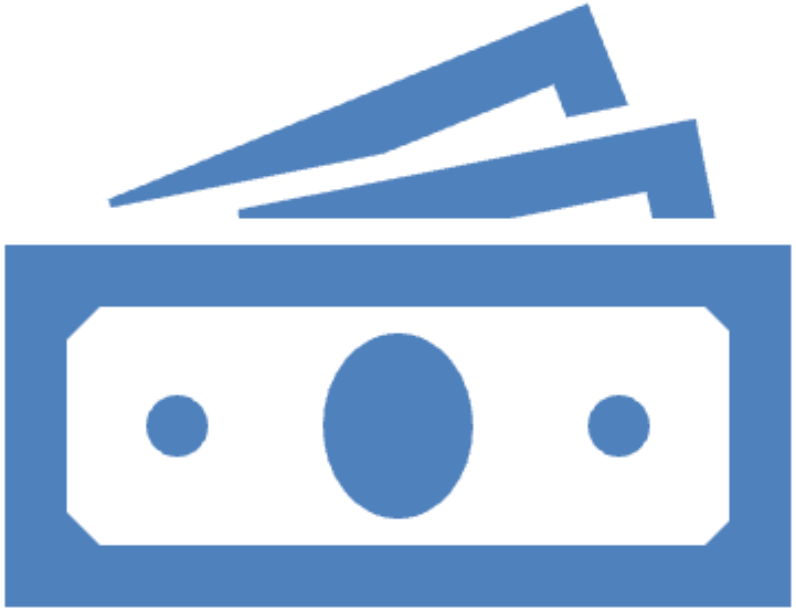
Basis	Profit Maximization	Wealth Maximization
Objective	Maximize accounting profit	Maximize shareholder value
Time Horizon	Short-term	Long-term
Risk	Not considered	Considered
Time Value of Money	Ignored	Considered
Decision Quality	May lead to poor long-term decisions	Better financial decisions



- **The Role of the Financial Managers**

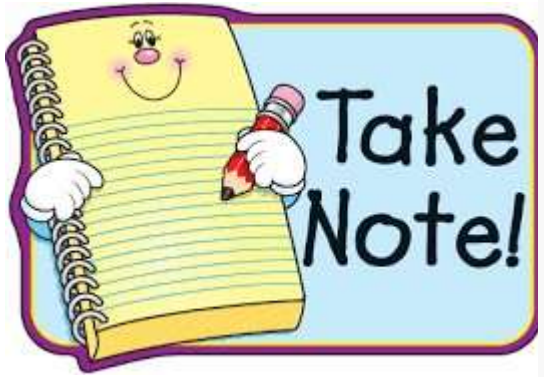
  - Investment Decisions
  - Financing Decisions
  - Dividend Policy Decision





Types of Business Organizations

- Sole Proprietorship
- Partnership
- Corporation



"I can do all this through Him, who gives me strength."

Philippians 4:13

Thank
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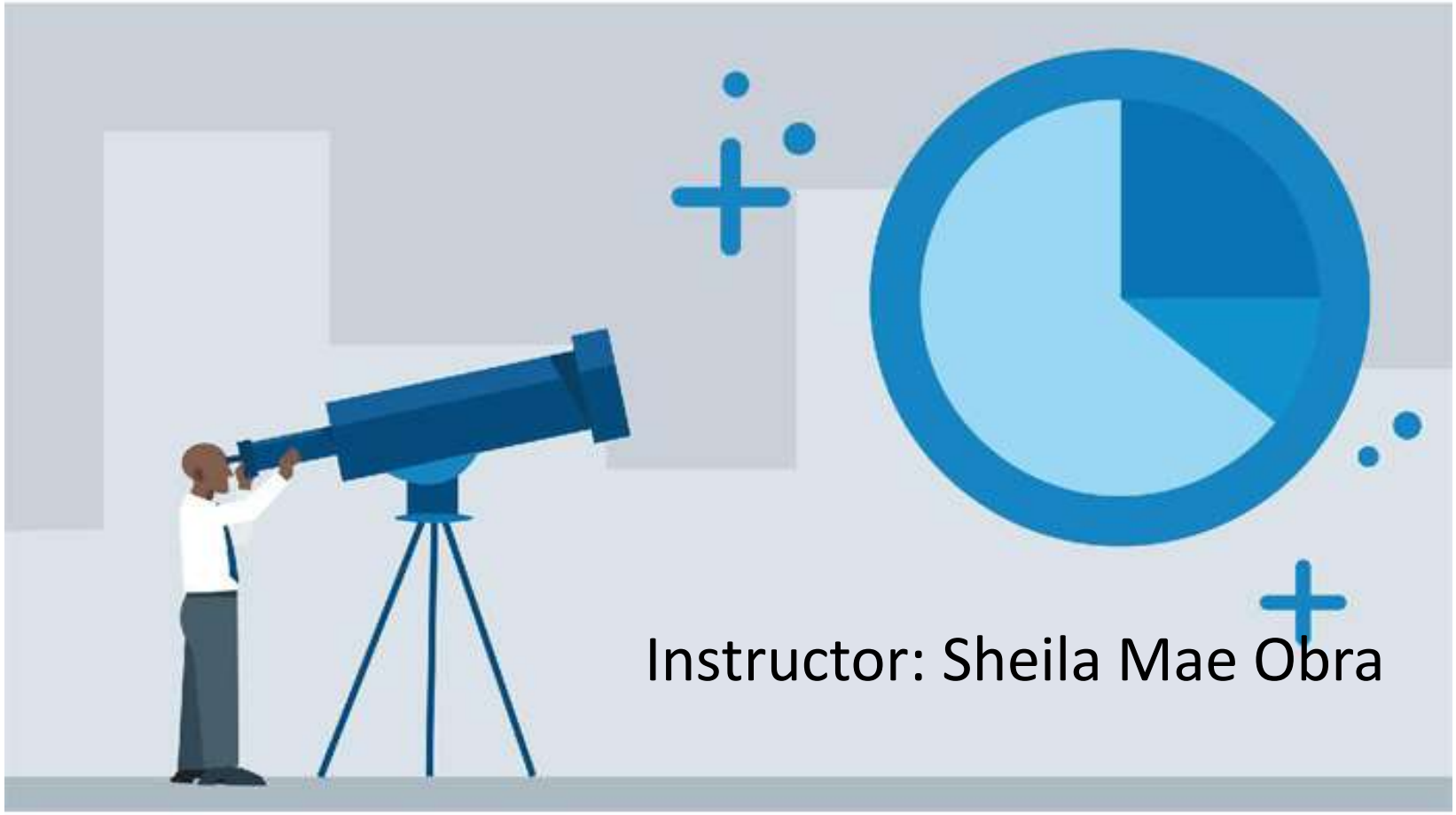
FINANCIAL FORECASTING



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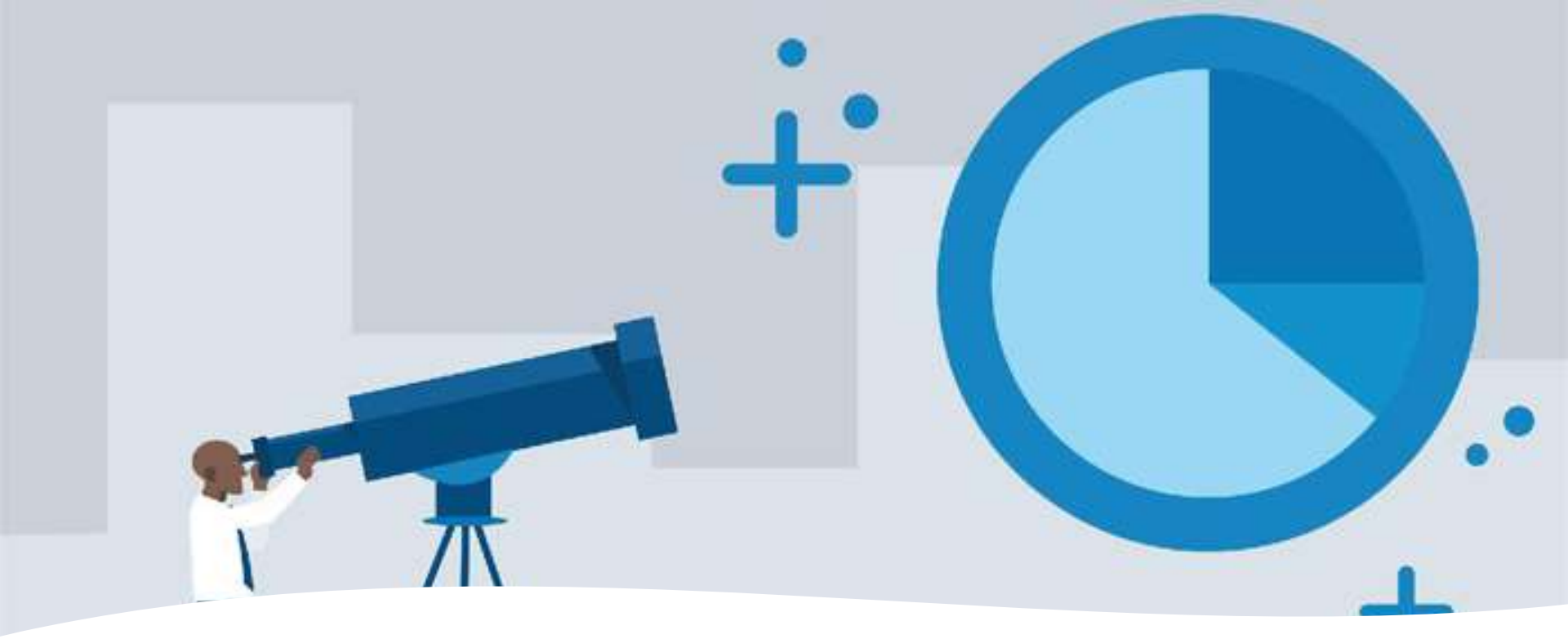

Definition of Forecasting

- Forecasting is a projection of future sales, revenues, earnings, costs, and other possible variables that are helpful in company's operations (Brigham & Houston, 2011).
- Starting point of business planning, making it one of the most important functions to be applied to a business.

Primary Objective

To reduce the risk of uncertainty that a company will face in making decision.

Top Management

Users of Forecasts

As a tool for long-range planning, particularly in providing a basis for performance targets, implementing long-range strategic objectives, and making capital budgeting decision.

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Production Manager

Users of Forecasts

Utilizes forecasts to determine the amount of raw materials that will be needed in the production., budget, schedule of production activities and inventory levels to maintain in order to avoid disrupting the production, labor hours, and the schedule of shipments.

Users of Forecasts

Purchasing Manager

To ascertain the volume or bulk of materials that should be purchased for a particular period of time to avoid overstocking or understocking of inventories.

Users of Forecasts

Marketing Manager

To estimate how much sales should be made in a particular period of time and to plan promotional and advertising activities for the products.

Users of Forecasts

Finance Manager

To anticipate the funding needed by the company.

Users of Forecasts

Human Resource Manager

To supply the human resource needed in achieving the company’s objectives.

Characteristics of Forecasts

Forecasts are rarely perfect

- More accurate for groups than individuals
- Short-term forecasts are more accurate
- Accuracy decreases as time horizon increases

Forecasting Approaches

Qualitative Forecasts

- Incorporate factors such as decision makers intuition, emotions, personal experiences, and value system.
- Useful in formulating short-term forecasts.

Forecasting Approaches

Qualitative Methods

a. Expert Opinions
b. Delphi Method
c. Sales force polling
d. Consumer Market survey
e. PERT-derived forecast

Expert Opinions

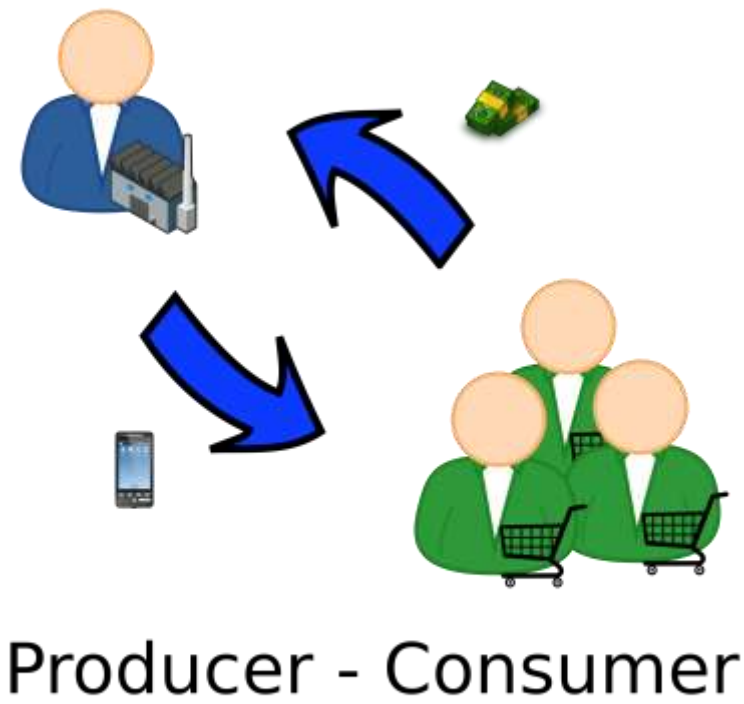
- Views of the managers or group with a high level of expertise, often in combination with statistical models, are synthesized to generate a consensual forecast.

Delphi Method

- Members are asked individually, through questionnaire, about forecast of future events.

Sales Force Polling

- Sales force is frequently used by companies to arrive at their sales forecast.



Consumer Market Surveys

- Conducting customer or potential customer surveys to accumulate information regarding their purchasing plans.

Forecasting Approaches

Quantitative Forecasts

- Use various mathematical models that rely on historical data and/or causal variables to forecast demand.

Forecasting Approaches

Quantitative Forecasts

a. Time series forecasting
b. Associative or causal model

Time-Series Forecasting

Assumes that the future is a function of the past.

Common Time-Series Methods

- Naïve Method
- Moving Average
- Weighted Moving Average
- Exponential Smoothing
- Trend Projection

Naïve forecasting model

The **naïve forecasting model** is the simplest forecasting method.
It assumes that **the next period's value will be the same as the most recent actual value**.

- **Formula:**

  $\hat{Y}_{t+1} = Y_t$

Where:
- $\hat{Y}_{t+1}$ = Forecast for next period
- Y_t = Actual value in the current period
- **t** = Time period

Naïve forecasting model

If:

$Y_1 = 100$

$Y_2 = 120$

$Y_3 = 150$

Tomorrow will be the same as today.

Then:

$$\hat{Y}_2 = Y_1 = 100$$

$$\hat{Y}_3 = Y_2 = 120$$

$$\hat{Y}_4 = Y_3 = 150$$

The forecast in period four is also 150.

Moving Average

- A **Moving Average (MA)** is used in forecasting to smooth out fluctuations and identify trends over time.

🔷 1. Simple Moving Average (SMA)

$$\text{SMA} = \frac{Y_t + Y_{t-1} + Y_{t-2} + \cdots + Y_{t-(n-1)}}{n}$$

Where:

- Y_t = actual value in the current period
- n = number of periods
- SMA = forecast for next period

Moving Average

If sales are:

Period	Sales
1	100
2	120
3	110

Forecast for Period 4:

$$\text{SMA} = \frac{100 + 120 + 110}{3}$$

$$\text{SMA} = \frac{330}{3} = 110$$

The Forecast for Period 4 = 110

Exponential Smoothing

Exponential smoothing is a forecasting method that gives **more weight to recent data** and less weight to older data.

🔷 1. Basic (Single) Exponential Smoothing Formula

$$F_{t+1} = \alpha Y_t + (1 - \alpha) F_t$$

Where:

- F_{t+1} = Forecast for next period
- Y_t = Actual value in current period
- F_t = Forecast for current period
- α = Smoothing constant (between 0 and 1)

Exponential Smoothing

Given:

- Actual sales (Y_t) = 500
- Previous forecast (F_t) = 450
- α = 0.30

$$F_{t+1} = 0.30(500) + (1 - 0.30)(450)$$

$$F_{t+1} = 150 + 315$$

$$F_{t+1} = 465$$

Forecast for next period = 465

1. Trend Equation (Linear Trend)

$$Y_t = a + bt$$

Where:

- Y_t = Forecasted value
- a = Intercept (value of Y when t = 0)
- b = Slope (trend per period)
- t = Time period

---

2. Formulas for a and b

$$b = \frac{n\sum tY - (\sum t)(\sum Y)}{n\sum t^2 - (\sum t)^2}$$

$$a = \frac{\sum Y - b\sum t}{n}$$

Where:

- n = number of periods

Trend Projection

Trend Projection is a forecasting method that fits a straight line to historical data using **linear regression** to predict future values.

Trend Projection

Given sales data:

Year (t)	Sales (Y)
1	100
2	120
3	140
4	160

Trend Projection

Step 1: Compute needed values

t	Y	tY	t^2
1	100	100	1
2	120	240	4
3	140	420	9
4	160	640	16

$$\sum Y = 520$$

$$\sum t = 10$$

$$\sum tY = 1,400$$

$$\sum t^2 = 30$$

$$n = 4$$

Trend Projection

Step 2: Solve for b

$$b = \frac{4(1400) - (10)(520)}{4(30) - (10)^2}$$

$$b = \frac{5600 - 5200}{120 - 100}$$

$$b = \frac{400}{20}$$

$$b = 20$$

Trend Projection

Step 3: Solve for a

$$a = \frac{520 - (20)(10)}{4}$$

$$a = \frac{520 - 200}{4}$$

$$a = \frac{320}{4}$$

$$a = 80$$

Trend Projection

Final Trend Equation

$$Y_t = 80 + 20t$$

Forecast for Year 5

$$Y_5 = 80 + 20(5)$$

$$Y_5 = 80 + 100$$

$$Y_5 = 180$$

Forecast for Year 5 = 180

Interpretation

•The slope (b = 20) means sales increase by **20 units per year**.

•The method assumes a **linear upward trend**.

Advantages of Forecasting

- Objective and data-based
- Improves planning
- Supports decision-making

Limitations of Forecasting

- Dependent on data accuracy
- Assumes past patterns continue
- Less reliable for long-term forecasts

Summary

Forecasting supports operations planning

- Used across functional areas
- Regression and correlation improve prediction accuracy

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FINANCIAL STATEMENT ANALYSIS

Instructor: Sheila Mae Obra

Objectives:

- Discuss the elements and limitations of financial statements
- Reconstruct balance sheets and income statements through financial ratios;
- Analyze and interpret trend ratios
- Evaluate the past performance of the company through financial ratios;
- Interpret the changes in the financial structure of a company;
- Differentiate the various activities of a company, namely, operating, investing, and financing; and
- Prepare a statement of cash flows

COMPONENTS OF FINANCIAL STATEMENTS

Balance Sheet

- Statement that shows the financial position of the company at a particular period of time.
- Composed of a company's assets, liabilities and stockholders equity.

COMPONENTS OF FINANCIAL STATEMENTS

Income Statement

- Statement that shows the result of the operations in a certain period of time.
- Represents the company's generated revenue, incurred expenses, and net earnings during the operating period.

COMPONENTS OF FINANCIAL STATEMENTS

Statement of stockholders' equity

- The statement of changes in stockholders' equity is a required basic statement that shows the movements of the components of the equity.

Major Elements of the Statement of Equity

- Issuance of Stocks
- Retained Earnings
- Declaration of Cash Dividends
- Distribution of Cash Dividends
- Purchase and Sale of Treasury Stock
- Accumulated other comprehensive income
- Correction of Errors

COMPONENTS OF FINANCIAL STATEMENTS

Statement of Cash Flows

- The statement shows the company’s the cash receipts and cash payments during a specific period of time.

COMPONENTS OF FINANCIAL STATEMENTS

Accounting Policies and notes to financial statements

- Guidelines used in the preparation of Financial Statements.

Limitations of Financial Statements

1. There are variations in the application of accounting principles.

2. Financial statements are interim in nature.

3. Financial Statements do not reflect changes in the purchasing power of the peso.

4. The financial statements do not contain all the significant facts about the business.

Free Cash Flow

- The generally accepted goal of a company is to maximize the wealth of its common stockholders through the value of its common stock (Kolb & Demong, 1998).

Profit Maximization

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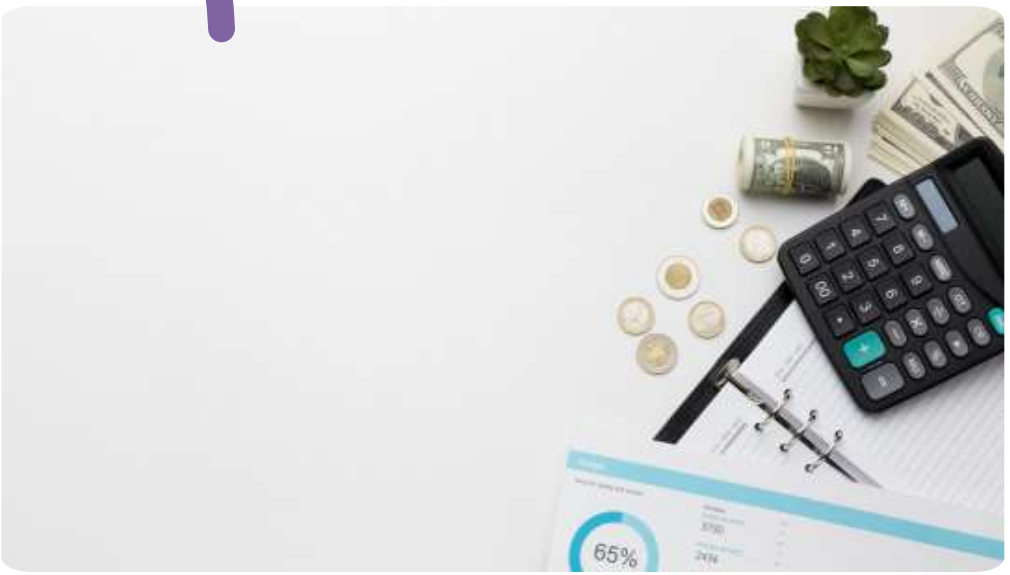

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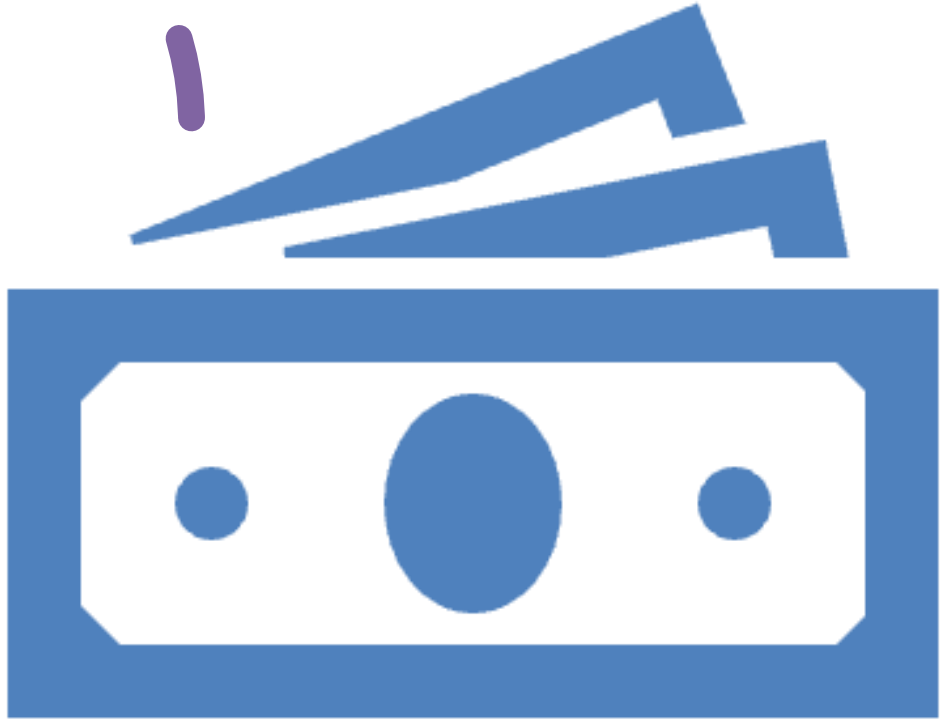

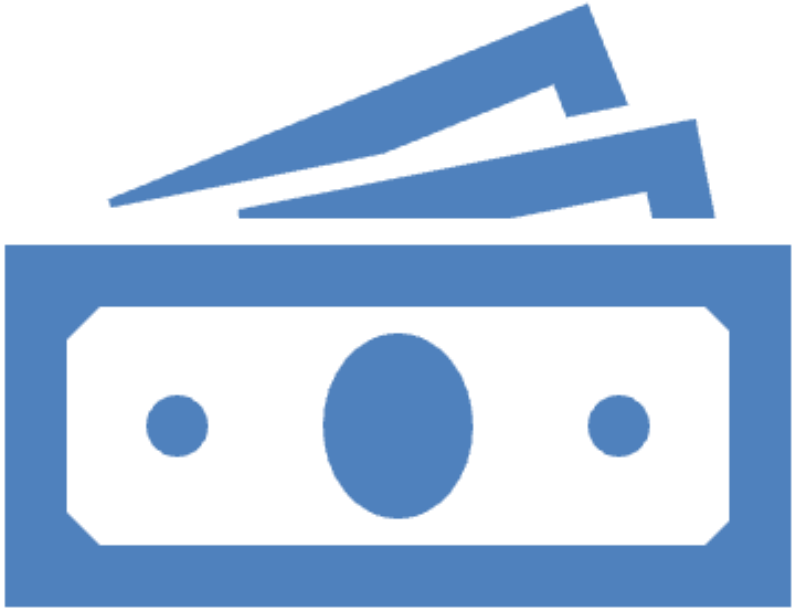

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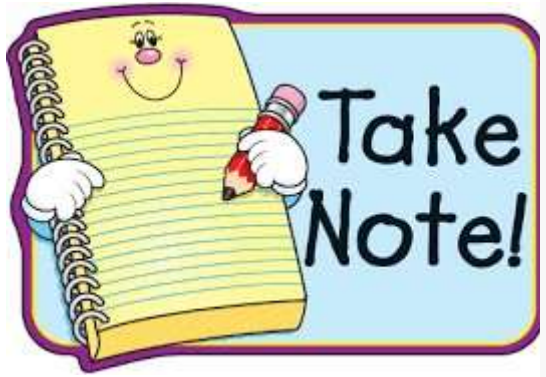

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FINANCIAL PLANNING AND BUDGETING

Instructor: Sheila Mae Obra

Objectives:

- Discuss basic concepts of the financial planning process;
- Differentiate the budget used in financial planning;
- Explain step by step procedure of budgeting;
- Compute budget for sales, inventories, and variable and fixed expenses; and
- Prepare the pro forma cash budget, balance sheet, and income statement

COMPONENTS OF FINANCIAL STATEMENTS

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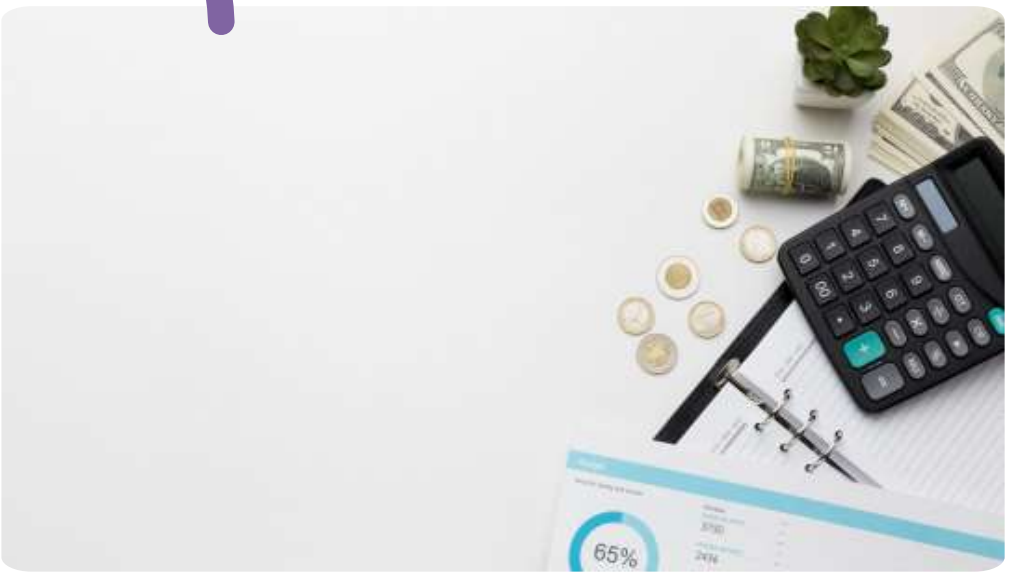

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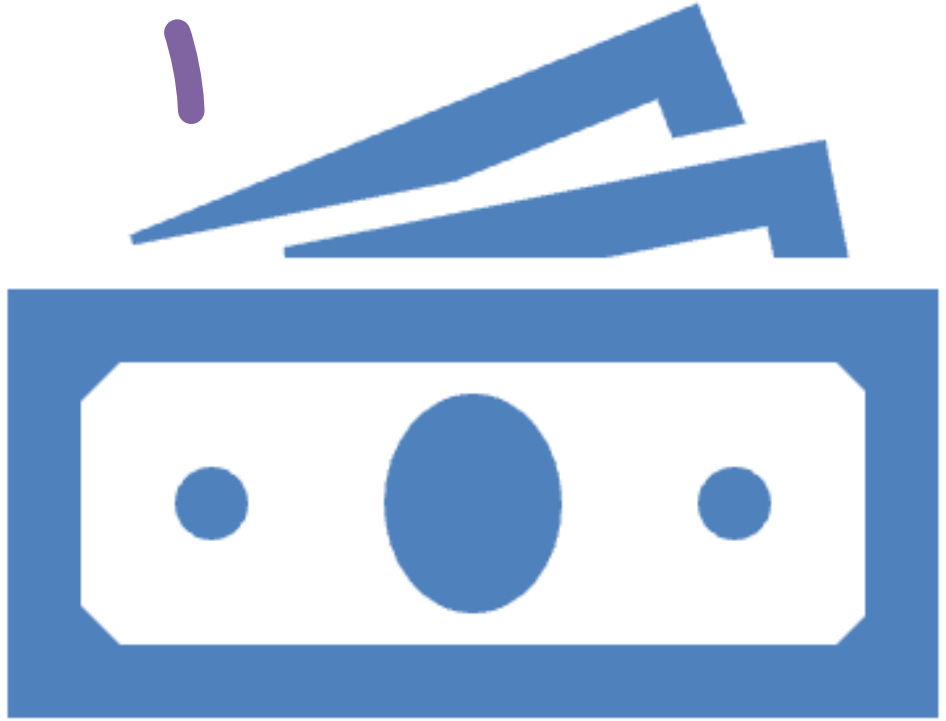

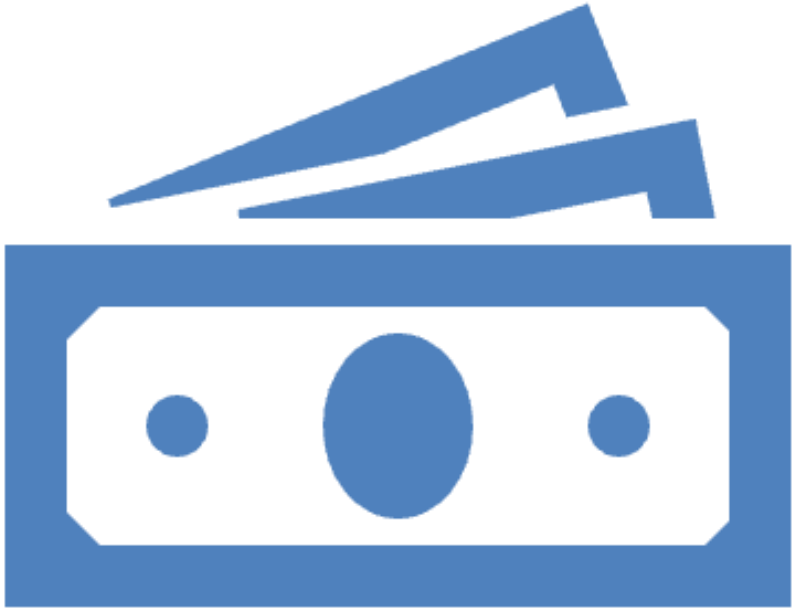

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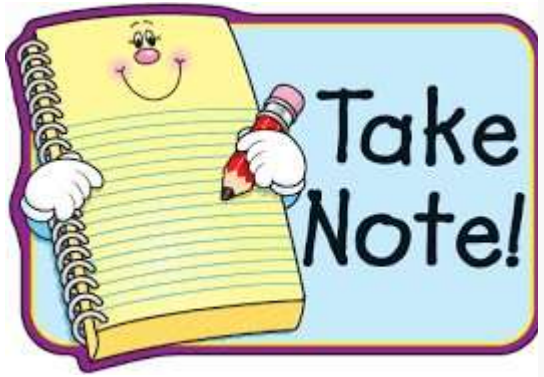

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